

ishable and accounts for a small part of the overall food consumption basket.” There is an obvious brand rub-off for an established online player when it decides to go offline.

Halder is clear that non-vegetarian “is a great category that can be differentiated on range and retail experience,” apart from bringing in good margins. “If one has an engaged team with the right leadership and operates independently, magic can happen. However, the perishability part means the retail rollout needs to be gradual and controlled to maintain viability.” Plus, offline increases the number of distribution points, since it does not come from one source. Consequently, waste increases, as does cost.

Quite clearly, the rewards are plentiful, but a lot needs to be done before that. Apart from sourcing, processing, and managing distribution costs, “predicting demand is an important component,” and getting it wrong can “lead to high wastage levels,” says Vinay Gopinath, an industry expert and former COO of Nandu’s, an offline poultry player. Given that one is still playing the commodity business, positioning meat and seafood as premium offerings is not easy. For the best-run outfits, gross margins for chicken are 20-25%, while fish is at a more attractive 40%. Mutton, the most expensive of all, brings in a lower 15-20%.

“Operationally, the meat business is a difficult business model and more so if you are selling a perishable product. Plus, the consumer is always comparing you to the neighbourhood meat shop and will not give you a premium of more than ₹30,” says Gopinath. For the average consumer, it is a commodity without any perceptible value addition. “Success in offline is enhanced if you have a comprehensive model where you control the entire process, starting with sourcing,” he says.

A multi-meat outlet in India normally gets approximately 60% of its revenue from chicken, 25% from fish, 10% from mutton, and 5% from eggs. That can change depending on, say, a decision to sell perhaps only value-added fish. The market in an aspirational India is expected to grow from here. That implies a higher proportion of not just the organised piece but also online. According to Narayanan, growth is inevitable with convenience being the buzzword. “The brands



“In today’s time when the consumer is looking at a branded, hygienically ready-to-cook option, Licious stepped in with the offerings and quickly scaled up across many cities”

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have to set a base benchmark on assured quality free of chemical molecules, value addition based on consumer needs, and at a reasonable premium to what the roadside butcher offers,” he says. There is an obvious acceptance of value-added and pre-prepared products in restaurant kitchens. “Typically, the trend first gets acceptance in the food service segment before gradually moving into the household kitchen. It will be interesting to see how the price variation between seafood, chicken and lamb plays a part in the consumer choosing between alternate proteins.”

In the offline market, Licious will face competition from established players like Republic of Chicken, Green Chick Chop and Nothing But Chicken, apart from the neighbourhood meat shops. Currently, Licious has more than one million active consumers. The repeat segment is around 50% on a monthly basis and 75% for each quarter. At an average consumer spend of ₹18,000 per year, there will be 500,000 people buying from Licious each month, translating to an annual revenue of ₹900 crore from online sales. “The number of active consumers will increase through offline and so will the frequency of purchases,” says Gupta. The folks at Licious are hoping that this indeed is the reality.

It seems Licious is all set for a prime cut of India’s offline meat market. A meaty future awaits! **BT**

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